TOPIC 3 · ECONOMIC ISSUES

ABC News (Adelaide Miller)
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Small businesses squeezed between rising costs and weaker sales

> Australia's roughly **2.7 million** small business owners face higher fuel costs, higher interest rates and slower sales, along with a run of regulatory changes. Late payments are at their worst since 2018, and insolvencies are near record levels.

WHAT HAPPENED

- **CreditorWatch:** serious arrears reached an 8.5-year high in September. More than half of invoices were paid late, and one in 10 was over 60 days overdue.
- **MYOB survey:** 38% of small businesses had lower revenue than a year earlier, 65% are worried about cashflow and 69% about finding new customers.
- Westpac's Luci Ellis names **fuel** as the biggest single squeeze on small business and the economy.
- **Policy changes** are adding up: payday super (starting next week), the card-surcharge ban, minimum and award wage rises, and changes to trust taxation.
- The RBA estimates the payment reforms will cut business costs by **$910 million** a year. The government also points to the permanent $20,000 instant asset write-off.

Insolvency: when a business cannot pay its debts as they fall due.
Compliance cost: the time and money spent meeting regulations.

KEY NUMBERS

8.5 yrs
serious arrears at their highest in this long

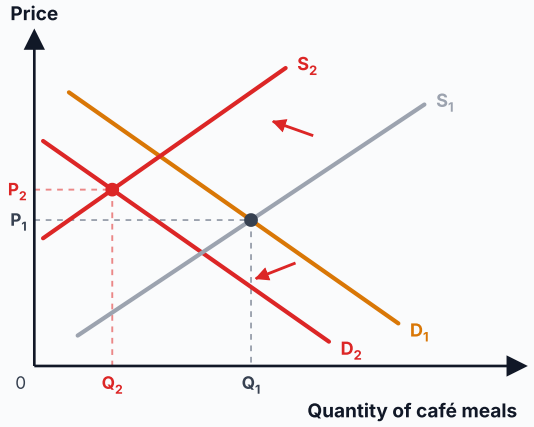
1 in 10
invoices more than 60 days overdue

38%
small businesses with lower revenue than a year ago

65%
worried about cashflow

DIAGRAM

Squeezed from both sides: costs up, spending down



Higher fuel, wage and compliance costs shift supply from **S_1 to S_2**. At the same time, households hit by rate rises cut spending, so demand falls from **D_1 to D_2**.

Quantity falls sharply from **Q_1 to Q_2**. The price effect is uncertain because the two shifts pull in opposite directions, which is why margins get squeezed.

Exam angle: industry groups say each reform is assessed in a "policy silo". The **cumulative** burden of many small changes at once is a limitation of policy, even when each change has merit on its own.

FLOW CHART

From the squeeze to the wider economy

Higher costs + weaker sales → Cashflow stress, late payments → Less hiring and investment → More insolvencies → **Slower growth, higher unemployment**

SYLLABUS LINK

Topic 3 – **Economic growth** and the business cycle, and unemployment. Topic 4 – **limitations of policy** (cumulative regulatory burden).

TRY THIS

Explain how rising interest rates and higher input costs can affect small businesses and the wider economy. **(4 marks)**

ABC News: https://www.abc.net.au/news/2026-10-27/economic-pain-collides-with-regulatory-changes-small-business/107286660

Diagrams are illustrative, not to scale